HOME OWNERSHIP

Looking for your retirement home

Find out how you can make informed decisions about purchasing a right-sized home without compromising your retirement.

BENEFITS OF RIGHT-SIZING

Right-size to meet your retirement needs

If you are approaching retirement, you may want to think about adjusting your living situation to better meet your future needs. This could be a good time to consider moving to a home that meets your ideal retirement lifestyle.

Here are three reasons why you should.

Free up cash for your retirement

If you already own a flat, right-sizing could free up cash from your current flat to boost your retirement savings. A smaller or more affordable home means lower monthly expenses, from housing loan repayments to utility bills, leaving you with more savings for unexpected expenses.

If your current flat works for you, you may consider housing monetisation schemes such as the Lease Buyback Scheme.

Greater housing security

If you don't own a flat, buying a flat within your means could offer you long term security, eliminating rental uncertainties and providing financial and emotional security in your retirement years.

Prepare for future needs

Certain 2-room flats for seniors such as Community Care Apartments cater to evolving needs as you age and retire, such as:

- Accessible living features including wider doorways, ramps or step-free access
- Senior-friendly amenities
- Proximity to family and healthcare facilities

Choose a home that meets both your current and future needs, including your long-term retirement plans.

HOUSING OPTIONS

Type of flats you can go for

Short-lease 2-room Flexi flats

If you are 55 years old and above, you can buy a short-lease 2-room Flexi flat offered by HDB.

- Offer flexibility in deciding a lease of between 15 and 45 years in 5-year increments, as long as it covers the youngest owner using Ordinary Account savings up to at least age 95

- Typically cost less while still providing a home for life
- Includes grab bars and options for additional senior-friendly fittings

Community Care Apartment

If you are 65 years old and above, you can buy a Community Care Apartment (CCA).

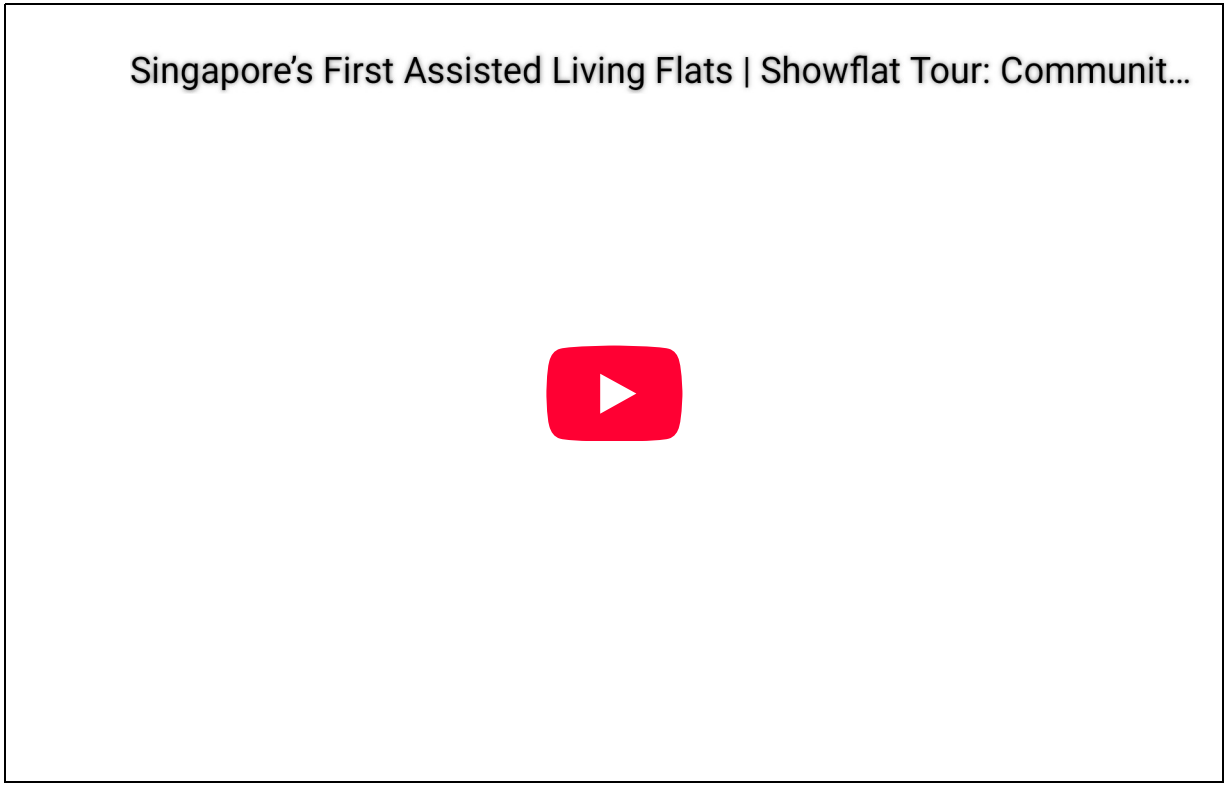
- Come equipped with senior-friendly fittings
- Include communal spaces on every floor for connecting with neighbours and participating in group activities
- Require subscription to the Basic Service Package which offers 24-hour emergency monitoring, health checks, and an on-site community manager for activities and programmes
- Offer optional additional services for day-to-day living, such as social day care, housekeeping, and meal services

Resale flats

You can also buy any flat in the resale market. Look at available flats on the HDB Flat Portal.

Considerations for choosing the right flat

Consider a more affordable flat that protects your retirement savings



Video source: HDB

Buy a flat within your means as you need more funds for your retirement once you stop working. Don't forget that there could be unexpected costs such as medical bills or emergencies.

Ensure that you have enough for your retirement after buying your flat.

Consider living near your family

Living near to family brings convenience. The Government also provides housing grants and schemes to encourage families to live closer together.

Visit HDB's website to learn about the housing grants available and priority schemes that enhance your chances in the balloting of flats.

FINANCING OPTIONS

Determining the budget for your flat

If you are selling your current flat to buy another flat

If you are a new homebuyer

Your budget is the sum of:

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1. Cash proceeds (Selling price of current flat - outstanding housing loan - CPF housing refunds)
2. Cash savings
3. OA savings (including refunds from the sale of current flat)
4. Housing grant (if eligible)

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Need help with budgeting?

Use HDB's Budget Calculator to estimate your budget for your flat. If you are aged 64 and below, use the Home Purchase Planner to view the impact of the purchase on your retirement goal.

Financing tips for your next home purchase

Set aside enough cash for expenses not payable using CPF

This includes resale levy if you are purchasing a second subsidised flat, your agent's commission and renovation costs.

Keep in mind impact on your retirement

Consider using a mix of cash and CPF to pay for the purchase price and loan (if eligible). Every dollar less you spend from your CPF account on your home is at least a dollar more for your retirement.

Avoid overstretching your Ordinary Account savings

If you qualify for a loan and intend to use CPF, keep your monthly instalments within your Ordinary Account contribution. Consider keeping 6 months of your monthly instalment in your Ordinary Account as a buffer.

Additional information

How much CPF savings can be used

CPF savings can be used for the purchase price, housing loan, stamp and legal fees.

If you are aged 55 and above and selling your current flat, the CPF refunds will first be used to top up your Retirement Account up to your Full Retirement Sum. The remaining refunds will be retained in your Ordinary Account.

You can check the amount available for use on your Home ownership dashboard, including the exact amount that you would need to refund to your CPF account upon the sale of your current flat that can be reused for your next flat.

If you are buying a resale flat, use our Housing Usage Calculator to estimate the amount of CPF savings you may use based on the flat's remaining lease.

Eligibility for a housing loan and housing grants

Apply for an HDB Flat Eligibility (HFE) letter to find out if you can purchase a new or resale flat, as well as the amounts of CPF housing grants and HDB housing loan you are eligible for.

Note that if you are buying a short-lease flat, such as a 2-room Flexi flat or a Community Care Apartment, you are not eligible for housing loans.

Further help channels

You can book an appointment to visit an HDB Branch. You may also wish to contact HDB via their Write to Us.

SELLING YOUR FLAT

When should you sell your flat?

Generally, you have up to 6 months to sell your current flat after the purchase completion of your next property. There is no need to sell the current flat first unless you need the sales proceeds to fund the purchase. Check your Home ownership dashboard to find out the amount of CPF refunds you may reuse for your next flat.

If you are purchasing a CCA or short-lease 2-room Flexi flat

As you will not be eligible for loans, the purchase price would have to be paid in full using your Ordinary Account and cash savings. There is no need to sell your current flat first if you have enough Ordinary Account and cash savings for the purchase.

If you are purchasing a resale flat

You can take a loan to pay for the purchase. There is no need to sell the current flat first, if your loan, Ordinary Account and cash savings are enough for the purchase.

Otherwise, you may have to sell your current flat first for the sales proceeds and find interim housing arrangements. If you are thinking of using the CPF refunds for the purchase, please note that CPF refunds may take up to 15 working days to be credited to your CPF accounts.

Take note of the default Daily Withdrawal Limit of $2,000 if you intend to withdraw your CPF refunds

credited to your Ordinary Account.

Unable to sell your flat in time?

You may apply for a short-term bridging loan from a financial institution or apply for HDB's Temporary Loan Scheme.

NEXT STEPS

Find out more

Visit HDB's step-by-step guide to find out about the buying and selling process.

ARTICLES

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